CITY ATTORNEY IMPARTIAL ANALYSIS OF MEASURE BB

California Revenue and Taxation Code section 7285.9 authorizes the City Council of the City of Pacifica to levy a General Transactions and Use Tax (*i.e.,* sales tax) if approved by a majority of the City's voters. The City Council of the City of Pacifica placed Measure BB on the November 3, 2026, ballot which if approved by a majority of the City's voters would enact an ordinance authorizing a 1% (1¢) transactions and use tax in the City of Pacifica. A "transactions and use tax" is commonly referred to as a "sales tax." If approved, Measure BB would impose a City tax that adds 1¢ to the cost of a $1.00 tangible personal property item purchased in Pacifica. The Measure adds a new Chapter 3.20 entitled, "Transactions and Use Tax of 2026" to Title 3 of the Pacifica Municipal Code. The tax would be assessed on the sale of tangible personal property and the storage, use, or other consumption of such property. This tax would be a general tax, meaning that revenues raised from the tax can be used for any general municipal purpose and will be deposited in the City's general fund.

The California Department of Tax and Fee Administration would administer the tax. The tax would be paid in addition to existing sales taxes and would be collected at the same time and in the same manner as existing sales taxes. Both City residents and visitors would pay this tax on retail sales activity in Pacifica. Certain necessities of life, such as groceries or prescription medicine, would be exempt from the tax. However, the exact purchases subject to the tax would be determined by state law. By law, all revenues raised by the Measure would belong to the City of Pacifica and could not be taken by the State or any other agency.

The City estimates that Measure BB, if approved, would generate approximately $5,000,000 in annual tax revenue until ended by voters. The actual tax revenue will vary based on the level of purchases occurring in Pacifica. The proceeds of the tax would be subject to an annual audit requirement where the results are presented annually to the City Council and available for public review and may also be combined with the City's annual financial audit.

In order for Measure BB to pass, the City's voters must approve the Measure by a simple majority vote (50% + 1) vote.

A "YES" vote is a vote to approve the tax. A "NO" vote is a vote against the tax.

/s/ Michelle Marchetta Kenyon, City Attorney
City of Pacifica